

UDC

Valeriia Yahlo

higher education student, second (master's) level of higher education

ERI “Karazin Banking Institute”

V.N. Karazin Kharkiv National University

*Scientific advisor - **N.L. Morozova***

*Ph.D. in Economics, Associate Professor, Associate Professor in the Department
of Management, Accounting and Business Communications,*

ERI “Karazin Banking Institute”

V.N. Karazin Kharkiv National University

USE OF MODERN HRM TECHNOLOGIES (COMPLIANCE CONTROL, HR ANALYTICS, AND SECURITY SYSTEMS) IN PREVENTING INTERNAL THREATS IN BANKING INSTITUTIONS

In the context of rapid digital transformation, increasing cyber risks, and intensifying competition in the financial sector, the role of human resource management (HRM) in ensuring the security and stability of banking institutions is becoming increasingly significant. Modern banks operate in a high-risk environment where internal threats—caused by employee actions, errors, or misconduct—can lead to substantial financial losses and reputational damage. Therefore, the integration of advanced HRM technologies into the overall risk management system is not only relevant but necessary. Among the most effective tools are compliance control systems, HR analytics, and integrated security mechanisms, which together form a comprehensive framework for preventing internal threats. [5]

One of the key components of modern HRM in banking is compliance control. Compliance represents a structured system of ensuring adherence to legal, ethical, and regulatory standards within an organization. In the banking sector, compliance functions include monitoring employee activities, preventing conflicts of interest, ensuring confidentiality, and detecting fraudulent behavior. Regulatory authorities, such as central banks and international financial institutions, require banks to establish independent compliance units with sufficient authority and access to information. These units play a critical role in identifying potential risks associated with employee behavior and ensuring that internal policies are consistently followed. The effectiveness of compliance systems is reflected in the reduction of internal violations and increased transparency in decision-making processes. [3]

Another important technological advancement in HRM is the use of HR analytics. HR analytics, also known as People Analytics, involves the collection and analysis of employee-related data to support decision-making and risk management. This approach allows organizations to identify patterns of behavior that may indicate potential threats, such as declining performance, increased absenteeism, or irregular system activity. By applying predictive analytics, banks can proactively address risks before they escalate into serious incidents. For example, employees demonstrating unusual behavioral changes can be flagged for further evaluation, allowing management to intervene through training, reassignment, or additional supervision. According to recent studies, organizations that implement HR analytics experience a significant reduction in internal incidents and improved overall performance. [2]

The integration of HRM with security systems is another essential element of modern personnel management. Banks increasingly rely on technological solutions such as access control systems, user activity monitoring, multi-factor authentication, and data protection protocols. These systems enable real-time tracking of employee actions within information systems, ensuring that unauthorized access or suspicious behavior can be quickly detected and addressed. For instance, logging systems record all user activities, allowing security teams to analyze patterns and identify anomalies. This integration not only strengthens internal control but also creates a transparent working environment where employees are aware of accountability for their actions. [4]

In addition to technical solutions, the role of organizational culture and employee behavior should not be underestimated. Modern HRM technologies are most effective when combined with initiatives aimed at fostering ethical behavior, professional responsibility, and employee engagement. Training programs, corporate ethics policies, and continuous professional development contribute to building a culture of security within the organization. Employees who understand the importance of compliance and security are more likely to adhere to internal regulations and less likely to engage in risky behavior. [1]

Furthermore, psychological aspects play a significant role in the effectiveness of HRM systems. Research indicates that a considerable proportion of internal threats is linked to stress, burnout, and low job satisfaction. Therefore, modern HRM approaches include monitoring employee well-being, providing psychological support, and promoting a healthy work environment. By addressing these factors, banks can reduce the likelihood of errors and intentional misconduct.[1]

The international experience of leading financial institutions demonstrates that the integration of HRM technologies into risk management systems significantly enhances organizational resilience. The “Three Lines of Defense”

model, widely used in global banking practice, emphasizes the role of operational management, risk management, and internal audit in maintaining control. HRM functions support all three levels by ensuring that employees are competent, reliable, and aligned with organizational objectives. [3]

In conclusion, the use of modern HRM technologies—compliance control, HR analytics, and security systems—represents a strategic approach to preventing internal threats in banking institutions. These tools enable proactive risk management, enhance transparency, and strengthen organizational culture. The successful implementation of such technologies requires not only technical infrastructure but also a comprehensive approach that includes employee training, ethical standards, and continuous monitoring. As the banking sector continues to evolve, the integration of HRM and security systems will remain a key factor in ensuring sustainable development and competitive advantage.

RESOURCES

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